

company launched the sustainable finance framework, which clearly defines what qualifies as a green or a social loan.

“The framework provides a structured governance and monitoring mechanism that promotes transparency, accountability, and disciplined use of proceeds. It enables us to systematically track allocation, monitor key sustainability KPIs, and measure both financial and impact outcomes across our financing portfolio,” says Rathod.

In FY26, L&T Finance raised ₹18,220 crore sustainability-linked loans. It financed more than 62,000 EVs during the year.

“We have expanded our sustainability-linked funding through strategic partnerships with leading global development institutions such as the Asian Development Bank and the Japan International Cooperation Agency, enabling targeted funding towards women borrowers, rural livelihoods, and climate-aligned financing,” says Rathod.

These arrangements, she says, incorporate clearly defined sustainability-linked performance indicators, and that ensures alignment between financial growth and the ESG piece.

While the company is expanding sustainable finance, it is also trying to do it in a way that it is environmentally responsible. For instance, 76% of the energy that the company uses now comes from renewable sources. L&T Finance is piloting solar panels in its branches and has set a target of becoming carbon neutral by FY35.

Rathod says they have already achieved water neutrality. The company also has an e-waste disposal policy.

L&T Finance recently unveiled

Lakshya 2031, which envisages transforming into a tech-first, AI-enabled retail financier. The AI-led initiatives and digital credit assessment tools are not only improving efficiency and enabling faster decision-making but also supporting the company’s broader paperless transformation.

It has also implemented AI-based energy assessment of more than 500 branches across the country. The company says 100% of its employees have been trained on the sustainability module to build organisation-wide awareness.

According to L&T Finance, over 100,000 people have benefited through comprehensive disaster relief measures in flood-affected regions. Rathod also points that its flagship CSR ‘Digital Sakhi’ programme has reached 818,000 women this year with digital and financial literacy support, with over 1.7 million total beneficiaries across all the CSR work.

In December 2025, the company received an ESG rating of 70 from CRISIL, categorised as ‘strong.’

The rating can be attributed to the strong performance on key environmental and social parameters, including control over the intensities of scope 1 and 2 emissions and energy consumption, as well as improved performance on attrition, diversity and inclusion, according to Crisil. It has also undertaken various climate-related projects such as water assessment and benchmarking for its top ten branches to optimise consumption. L&T Finance claims 265 lakh kl of rainwater was harvested through Project Jalvaibh. Separately, through Project Prakruti, 1,521 tonnes of carbon was sequestered. **BT**

@TheNachiket



APURVA RATHOD

Company Secretary
and Chief
Sustainability Officer,
L&T Finance

BEST ESG PERFORMER & MOST SUSTAINABLE COMPANY IN FINANCIAL SECTOR (NBFC)

L&T Finance raised
₹18,220 crore in
sustainability-linked
loans in FY26

Of all the energy that
the company uses,
76% comes from
renewable sources

Company is piloting
solar panels in its
branches; has set a
target of becoming
carbon neutral by FY35

Water assessment
and benchmarking
conducted for top ten
branches to
optimise consumption

